

Agency Relationships Available in Michigan

Michigan licensees can enter into a contract with consumers to establish an agency relationship. There are several types of relationships permitted.

Seller's Agent

A seller's agent is a licensee who acts on behalf of, and owes fiduciary duties to, a seller. Sellers can permit the seller's agent to cooperate with sub-agents, buyer's agents, and transaction coordinators. A sub-agent is a licensee who agrees to work with the listing agent and acts on the seller's behalf. Seller agents and sub-agents are required to disclose to their seller client any information known about the buyer which may benefit the seller.

Buyer's Agent

A buyer's agent is a licensee who acts on behalf of, and owes fiduciary duties to, a buyer, tenant, or lessee. Buyer agents and sub-agents are required to disclose to their buyer client any information known about the seller which may benefit the buyer.

Dual Agent

A dual agent is a licensee who represents both the buyer and seller in the same transaction. A dual agent can't perform all the fiduciary duties that a buyer's or seller's agent performs. For example, a licensee can't disclose all known information to one client if it was provided by the other client. That could breach the duty of confidentiality owed to one client. It could also give the perception of putting loyalty owed to one client ahead of another. Dual agents mustn't act in a way that puts one client at an advantage to the detriment of the other client. Dual agents do still have a duty to disclose material facts related to the property or transaction as required by law. Licensees can only act as a dual agent with written, informed consent from both the buyer and the seller.

Designated Agent

A designated agent is a licensee who's designated by his or her broker to act as the client's agent. A broker and client can enter into a designated agency agreement. The client has an agency relationship with all affiliated licensees of the broker until a written agreement designates a specific licensee to represent the client. When a specific designated agent is identified, the client no longer has an agency relationship with the other affiliated licensees at the brokerage.

A designated agency agreement can, at any time, amend a previously executed listing or buyer's agency agreement in order to establish a designated agency relationship, to change a designated agent, or to change the supervisory broker. Designated agency agreements list the names of associate brokers who can act as supervisory broker in addition to the broker.

Brokers and supervisory brokers are disclosed consensual dual agents if the designated agents represent both parties to the same transaction. Designated agents must disclose to their respective clients of the fact that the broker represents both parties before any offers related to the transaction are made or presented. The two designated agents representing separate parties are NOT considered dual agents.

Designated agents can't reveal confidential information shared by their client to any other licensee, except to the supervisory broker when seeking advice or assistance for the client's benefit. Confidential information known by the designated agent isn't imputed to other affiliated licensees who don't have a relationship with the client. For example, Jasmine is a designated agent for a seller. She knows the price below the property's list price that her seller is willing to accept. Just because Jasmine knows this information doesn't mean that other affiliated licensees at her brokerage know this information. In fact, it'd be a violation for Jasmine to share confidential information with affiliated licensees who aren't part of the agency relationship.

Transaction Coordinator

A transaction coordinator is a licensee who isn't an agent of either party to the transaction. The coordinator is considered a neutral party. If a licensee is representing a seller, that same licensee can't act as a transaction coordinator for the buyer, and vice versa. A transaction coordinator doesn't represent any party in the transaction. Licensees can act as a transaction coordinator upon written notice to all transaction parties.

Because of a transaction coordinator's neutral stance, he or she can't be involved in any contract negotiations between the parties. The coordinator essentially brings the two parties together, then let's the parties hash out the details of the transaction.